

LAND LEASE

APPROVED as to form only:
By Stefanie Boster at 11:35 am, Jul 02 2024

This **Land Lease** (“Lease”), is dated as of _____, 2024 (“Effective Date”) by and between the following:

Lessor

Lessor:	Swan Ranch Cheyenne Rail, L.L.C.
Entity:	A Wyoming limited liability company
Mailing Address:	315 W. Third Street
City, State, Zip:	Pittsburg, KS 66762

And

Lessee

Lessee:	City of Cheyenne
Entity:	A Wyoming Municipal Corporation
Mailing Address:	2101 O’Neil Avenue
City, State, Zip:	Cheyenne, WY 82001

This Lease supersedes and replaces that certain Railcar Storage Agreement, designated City Contract #7665, by and between Cheyenne Rail Hub, LLC and Lessee, dated January 1, 2023, and any subsequent amendments thereto.

Lessor desires to lease property to Lessee for and in consideration of the mutual benefits and obligations set forth in this Lease, the Lessor and Lessee agree to be bound on as follows:

1. **LEASED PREMISES.**

Lessor hereby leases to Lessee the Land, located in the County of Laramie, and State of Wyoming (“Leased Premises”), and on a non-exclusive basis, the Non-Exclusive Ingress and Egress drive, both being approximately depicted on **Exhibit A** herein.

2. **TERM/TERMINATION.**

- 2.1. The term of this Lease (“Term”) shall be for one (1) year commencing on June 1, 2024 (“Commencement Date”) and unless sooner terminated as hereinafter provided expire on May 31, 2025 (the “Term”).

2.2. **This lease will not become effective until Lessor has signed.** Lessor will provide Lessee with a fully executed Lease once Lessor receives 1) first payment as identified in Section 3.1 and 2) Certificate of Insurance meeting or exceeding the requirements set forth in Exhibit B.

2.3. Both Lessor and Lessee have the option to terminate this Lease by providing written notice to the other party of intent to terminate at least thirty (30) days in advance of termination date. Lessee acknowledges and agrees that rent will not be prorated for any payment term.

3. **BASE RENT.**

3.1. Base Rent for the Leased Premises shall be as follows:

Initial Term		Annual Base Rent
June 1, 2024	to May 31, 2025	\$0.00

3.2. Base Rent shall be payable annually in advance, on the Commencement Date.

4. **USE.**

4.1. Lessee shall use the Leased Premises solely for the purpose of storing no more than four (4) Lessee owned passenger rail cars, conducting railcar restoration, and abatement of railcar lead based paint and asbestos, subject to Section 5 contained herein, and for no other purpose ("Use"), without the prior written consent of Lessor. Lessee shall use the Non-Exclusive Ingress and Egress, on a non-exclusive basis, to access the Leased Premises and for no other purpose. Lessee shall not allow the Leased Premises or the Non-Exclusive Ingress and Egress, to be used by another person or firm without the prior written consent of Lessor.

4.2. Lessee shall not place any sign, advertising, or improvements on the Leased Premises without the prior written consent of Lessor.

4.3. Lessee shall, at its sole cost and expense, promptly comply with all present and future laws, statutes, regulations, ordinances, orders, covenants, restrictions, or decisions of any governmental authority or court of competent jurisdiction affecting the Use and condition of the Leased Premises and any equipment placed or used thereon and Lessee's operations and activities on the Leased Premises.

- 4.4. Lessee shall not make any changes in the Leased Premises without the prior written consent of Lessor. Any alterations made by Lessee constituting permanent leasehold improvements pursuant to applicable laws shall remain on and be surrendered with the Leased Premises and shall become the property of Lessor upon the expiration or sooner termination of this Lease, except Lessee shall upon demand by Lessor, at Lessee's sole cost and expense, forthwith and with all due diligence (but in any event not later than 10 days after the expiration or earlier termination of this Lease) remove all or any portion of any alterations made by Lessee which are designated by Lessor to be removed (including without limitation stairs, bank vaults, and cabling, if applicable) and repair and restore the Leased Premises in a good and workmanlike manner to their original condition, reasonable wear and tear excepted.

5. SCOPE OF WORK.

- 5.1. All lead-based paint and asbestos abatement shall be conducted by a fully licensed and insured contractor with expertise in the abatement of the stated materials ("Contractor"). Lessee shall provide Lessor with copies of the Contractor's licenses and training certificates required under state and federal law as they relate to the abatement activities. Lessee will provide the Contractor's Scope of Work to Lessor for review. Lessor retains the right to require modification to the Scope of Work for any reason. Commencement of abatement activities will not be permitted prior to Lessor's written acceptance of the Scope of Work.
- 5.2. Lessee shall require all Contractor's to execute a Right of Entry and Hold Harmless Agreement, for any access to and from the Leased Premises, prior to any work being conducted by such Contractor pursuant to this Lease, in a form acceptable and approved by Lessor, to be approved in Lessor's sole discretion.

6. LESSOR RESERVED RIGHTS.

- 6.1. Lessor reserves the right to use, operate upon, maintain, repair, replace, or augment the Leased Premises or relocate the Lessee, provided that said relocation does not unreasonably interfere with Lessee's Use of the Leased Premises for the purposes set forth in this section. This Lease is subject and subordinate to any right which Lessor or any easement holder, lessee, or licensee of Lessor may have in the Leased Premises. Lessee shall not interfere with the maintenance or operation of the Reserved Facilities,

or the rights of any easement holders, lessees, or licensees with respect thereto. "Reserved Rights" means existing tracks, pipes, conduits, thoroughfares, roads, tunnels, electric communication and signal transmission lines and poles for such lines, and any other facilities of similar nature on, above or below the ground, belonging to any party whomsoever.

- 6.2. Lessor shall have the right to enter the Leased Premises at reasonable hours day or night and inspect the Leased Premises, make such repairs, additions or alterations as it may deem necessary for the safety, preservation or restoration of the Leased Premises and the improvements, if any, located thereon (there being no obligation, however, on the part of Lessor to make any such inspections, repairs, additions or alterations), or to exhibit the Leased Premises to prospective purchasers.

7. **TAXES AND ASSESSMENTS.**

Lessor shall pay and continue to pay during the term of this Lease, all real property taxes, before such become delinquent.

8. **UTILITIES.**

Lessee, at its sole cost and expense (including fees for permits and similar documents), shall obtain all utility services required or desired by Lessee, including the installation of meters and submeters if none exist. Lessee shall be responsible for all charges for utilities consumed by, and supplied to, Lessee by the provider thereof. To the extent any existing utility services on the Leased Premises are used by Lessee with Lessor's prior, written consent, and are not separately metered or billed to Lessee, Lessee shall pay, as Additional Rent, a proportionate cost of the utility services.

9. **CONDITION OF LEASED PREMISES AND MAINTENANCE.**

- 9.1. Lessee has fully inspected and accepts the Leased Premises "AS IS, WHERE IS, WITH ALL FAULTS." Lessor makes no representations as to the zoning, condition, utility, or fitness of the Leased Premises for any use.
- 9.2. Lessee shall perform and bear the entire expense of all repairs, maintenance, alterations, or improvements to the Leased Premises (land and all improvements including building structures) including without limitation snow and ice removal; vegetation control; adjacent walkways; roads; parking areas; exterior walls; roof; heating; ventilating; air-conditioning; electrical; plumbing; utility supply lines; and other systems on the Leased

Premises. Lessee shall keep the condition of the Leased Premises in good order and in safe condition. Lessor shall have no obligation whatsoever to maintain or repair the Leased Premises.

- 9.3. Lessee shall perform and bear the entire expense of all repairs and maintenance of the Non-Exclusive Ingress and Egress drive area, and any railroad tracks within the Non-Exclusive Ingress and Egress drive area, that may become damaged pursuant to Lessee's use thereof.

10. **LIABILITY.**

- 10.1. **TO THE FULLEST EXTENT PERMITTED BY LAW, LESSEE SHALL INDEMNIFY, DEFEND AND HOLD HARMLESS LESSOR AND LESSOR'S AFFILIATED COMPANIES, PARTNERS, SUCCESSORS, ASSIGNS, LEGAL REPRESENTATIVES, OFFICERS, DIRECTORS, SHAREHOLDERS, EMPLOYEES AND AGENTS (COLLECTIVELY, "LESSOR INDEMNITEES") FOR, FROM AND AGAINST ANY AND ALL CLAIMS, LIABILITIES, FINES, PENALTIES, COSTS, DAMAGES, LOSSES, LIENS, CAUSES OF ACTION, SUITS, DEMANDS, JUDGMENTS AND EXPENSES (INCLUDING, WITHOUT LIMITATION, COURT COSTS, ATTORNEYS' FEES AND COSTS OF INVESTIGATION, REMOVAL AND REMEDIATION AND GOVERNMENTAL OVERSIGHT COSTS) ENVIRONMENTAL OR OTHERWISE (COLLECTIVELY "LIABILITIES") OF ANY NATURE, KIND OR DESCRIPTION OF ANY PERSON OR ENTITY DIRECTLY OR INDIRECTLY ARISING OUT OF, RESULTING FROM OR RELATED TO (IN WHOLE OR IN PART):**

10.1.1. THIS AGREEMENT, INCLUDING, WITHOUT LIMITATION, ITS ENVIRONMENTAL PROVISIONS,

10.1.2. ANY RIGHTS OR INTERESTS GRANTED PURSUANT TO THIS AGREEMENT,

10.1.3. LESSEE'S OCCUPATION AND USE OF THE LEASED PREMISES OR THE USE OF AND OPERATION BY LESSOR UPON THE LEASED PREMISES,

10.1.4. THE ENVIRONMENTAL CONDITION AND STATUS OF THE LEASED PREMISES CAUSED OR AGGRAVATED BY, OR CONTRIBUTED TO, IN WHOLE OR IN PART, BY LESSEE,

10.1.5. ANY ACT OR OMISSION OF LESSEE OR LESSEE'S OFFICERS, AGENTS, INVITEES, EMPLOYEES, OR CONTRACTORS, OR ANYONE DIRECTLY OR INDIRECTLY EMPLOYED BY ANY OF THEM, OR ANYONE THEY CONTROL OR EXERCISE CONTROL OVER.

EVEN IF SUCH LIABILITIES ARISE FROM OR ARE ATTRIBUTED TO, IN WHOLE OR IN PART, ANY NEGLIGENCE OF ANY INDEMNITEE. THE ONLY LIABILITIES WITH RESPECT TO WHICH LESSEE'S OBLIGATION TO INDEMNIFY THE INDEMNITEES DOES NOT APPLY ARE LIABILITIES TO THE EXTENT PROXIMATELY CAUSED BY THE GROSS NEGLIGENCE OR WILLFUL MISCONDUCT OF AN INDEMNITEE.

10.2. FURTHER, NOTWITHSTANDING THE LIMITATION IN SECTION 10.1, LESSEE NOW AND FOREVER WAIVES ANY AN ALL CLAIMS, REGARDLESS OF WHETHER BASED ON THE STRICT LIABILITY, NEGLIGENCE OR OTHERWISE, THAT LESSOR IS AN "OWNER", "OPERATOR", "ARRANGER", OR "TRANSPORTER" OF LEASED PREMISES FOR THE PURPOSES OF CERCLA OR OTHER ENVIRONMENTAL LAWS. LESSEE WILL INDEMNIFY, DEFEND AND HOLD THE INDEMNITEES HARMLESS FROM ANY AND ALL SUCH CLAIMS REGARDLESS OF THE NEGLIGENCE OF ANY INDEMNITEES. LESSEE FURTHER AGREES THAT THE USE OF THE LEASED PREMISES AS CONTEMPLATED BY THIS AGREEMENT SHALL NOT IN ANY WAY SUBJECT LESSOR TO CLAIMS THAT LESSOR IS OTHER THAN A COMMON CARRIER FOR PURPOSES OF ENVIRONMENTAL LAWS AND EXPRESSLY AGREES TO INDEMNIFY, DEFEND, AND HOLD THE INDEMNITEES HARMLESS FOR ANY AND ALL SUCH CLAIMS. IN NO EVENT SHALL LESSOR BE RESPONSIBLE FOR THE ENVIRONMENTAL CONDITION OF THE LEASED PREMISES UNDER THIS AGREEMENT.

10.3. LESSEE FURTHER AGREES, REGARDLESS OF ANY NEGLIGENCE OR ALLEGED NEGLIGENCE OF ANY INDEMNITEE, TO INDEMNIFY, AND HOLD HARMLESS THE INDEMNITEES AGAINST AND ASSUME THE DEFENSE OF ANY LIABILITIES ASSERTED AGAINST OR SUFFERED BY ANY INDEMNITEE UNDER OR RELATED TO THE FEDERAL EMPLOYERS' LIABILITY ACT ("FELA") WHENEVER EMPLOYEES OF LESSEE OR ANY OF ITS AGENTS, INVITEES, CONTRACTORS CLAIM OR

ALLEGE THAT THEY ARE EMPLOYEES OF ANY INDEMNITEE OR OTHERWISE. THIS INDEMNITY SHALL ALSO EXTEND, ON THE SAME BASIS, TO FELA CLAIMS BASED ON ACTUAL OR ALLEGED VIOLATIONS OF ANY FEDERAL, STATE OR LOCAL LAWS OR REGULATIONS, INCLUDING BUT NOT LIMITED TO THE SAFETY APPLIANCE ACT, THE BOILER INSPECTION ACT, THE OCCUPATIONAL HEALTH AND SAFETY ACT, THE RESOURCE CONSERVATION AND RECOVERY ACT, AND ANY SIMILAR STATE OR FEDERAL STATUTE.

- 10.4. **UPON WRITTEN NOTICE FROM LESSOR, LESSEE AGREES TO ASSUME THE DEFENSE OF ANY LAWSUIT OR OTHER PROCEEDING BROUGHT AGAINST ANY INDEMNITEE BY ANY ENTITY, RELATING TO ANY MATTER COVERED BY THIS LEASE FOR WHICH LESSEE HAS AN OBLIGATION TO ASSUME LIABILITY FOR AND/OR SAVE AND HOLD HARMLESS ANY INDEMNITEE. LESSEE SHALL PAY ALL COSTS INCIDENT TO SUCH DEFENSE, INCLUDING, BUT NOT LIMITED TO, ATTORNEYS' FEES, INVESTIGATORS' FEES, LITIGATION AND APPEAL EXPENSES, SETTLEMENT PAYMENTS, AND AMOUNTS PAID IN SATISFACTION OF JUDGMENTS.**

11. ENVIRONMENTAL COMPLIANCE.

- 11.1. Lessee hereby agrees to defend (with counsel reasonably approved by Lessor), protect, indemnify and hold the Lessor harmless from and against, and shall reimburse the Lessor for, any and all costs (including, without limitation, reasonable attorney's fees and expenses), damages, penalties, fines, expenses or losses arising from any and all claims, demands, losses, liabilities, fines, penalties, charges, causes of action, injury to person, property, or natural resources, administrative and judicial proceedings and orders, injunctive relief, judgments, remedial action requirements, enforcement actions of any kind, but excluding, with respect to the Lessor, those arising out of the negligence or willful misconduct of Lessor, arising directly or indirectly, in whole or in part, out of or attributable to any Release (as hereinafter defined) or threatened Release, whether foreseeable or unforeseeable, which (A) occurs during the Term and is the result of an omission or action by the Lessee or (B) occurs after the expiration of the Term but is nevertheless the result of an action or omission by Lessee during the Term. For purposes of this Paragraph 9.1, "Lessor" shall include Lessor, its agents, contractors, employees and invitees.

11.2. Lessee shall: (a) comply with all federal, state, and local laws, codes, ordinance, regulations, permits and licensing conditions governing the Release, discharge, emission or disposal of any Contaminant and prescribing methods for or other limitations on storing, handling or otherwise managing Contaminants and shall furnish satisfactory evidence of such compliance to Lessor prior to engaging in any regulated activity on the property, (b) at its own expense, promptly contain and remediate any Release of Contaminants arising from or related to the Lessee's Contaminants activity in the Premises or the Park and remediate and pay for any resultant damage to property, persons and/or the environment, (c) give immediate verbal and written notice to Lessor, and all appropriate regulatory authorities, of any Release of any Contaminants in the Premises or the Park arising from or related to Lessee's Contaminants, which Release is not made pursuant to and in conformance with the terms of any permit or license duly issued by appropriate governmental authorities, any such notice to include a description of measures taken or proposed to be taken by Lessee to contain and remediate the Release and any resultant damage to property, person, or the environment, (d) at Lessor's request, based on its good faith belief that a Release of a contaminant has occurred on the Premises and which request shall not be more frequent than once per calendar year, retain an independent engineer or other qualified consultant or expert acceptable to Lessor, to conduct, at Lessee's sole expense, an environmental audit of the Premises, and the scope of work to be performed by such engineer, consultant, or expert shall be approved in advance by Lessor, and all of the engineer's, consultant's, or expert's work product shall be made available to Lessor, (e) at Lessor's request from time to time, execute affidavits, representations and other documentation concerning Lessee's best knowledge and belief regarding the presence of Contaminants in the Premises, (f) reimburse to Lessor the reasonable cost of any testing for the purpose of ascertaining if there has been any Release of Contaminants in the Premises, if such testing is required by any governmental agency or Lessor's mortgagee, and (g) upon expiration or termination of this Lease, surrender the premises to Lessor free from the presence and contamination of any Contaminants to the extent the same was brought onto the Premises during the Term hereof by Lessee and its agents, contractors, employees and invitees.

11.3. **Environmental Testing. Prior to the end of the Lease Period.** Lessee will at Lessee's expense conduct such environmental testing and sampling of the Leased Site, as reasonably required by Lessor. Lessee will provide Lessor with reasonable notice of its testing activities so as to permit Lessor the opportunity to be present during the conduct of such activities and the opportunity to split any samples resulting from such activities at Lessor's sole expense; and Lessee will provide to Lessor copies of any

reports, tests, and studies. Any environmental contamination found on the Leased Site will be presumed to have been caused by the activities of Lessee.

- 11.4. **Environmental Audits.** Lessor, through its authorized representatives and contractors, upon at least forty-eight (48) hours' prior notice in writing to Lessee, at any time and from time to time at its own cost and expense has the right to conduct (or cause to be conducted) an environmental, health, safety, or security audit of all or any portion of the Leased Site and the operations conducted thereon (including spill prevention, process safety programs and Release records) to ensure compliance with the provisions of the Lease Agreement. Lessor will cause such audit to be performed in such a manner so as to minimize interference to the extent reasonably practicable with Lessee's operations. Lessee has the right to have a representative present during the performance of any such audit. Additionally, to the extent such disclosure would not jeopardize any legal privilege, Lessee will provide Lessor with a copy of any report and data with respect to any environmental audit or study of the Leased Site conducted by or on behalf of Lessee that might impact Lessor or the community in the immediate vicinity of the Lessor Adjoining Property. Notwithstanding the foregoing, the factual basis of any audit finding, the contents of which might reasonably be expected to impact Lessor or the community in the immediate vicinity of the Lessor Adjoining Property, will be promptly disclosed to Lessor.

11.5. **Environmental Definitions:**

11.5.1. "Applicable Law" means any statute, law, regulation, ordinance, rule, judgment, rule of law, order, decree, Permit, approval, concession, grant, franchise, license, agreement, or requirement of any Governmental Authority having or asserting jurisdiction over the matter or matters in question, whether now or hereafter in effect and in each case as amended (including, without limitation, any thereof pertaining to the environment, land use or zoning restrictions and the common law of such Governmental Authority), as well as any rights, duties, or obligations granted to, or imposed upon any Person under federal or state common law including, but not limited to, the common law of trespass and nuisance.

11.5.2. "Contaminant" means asbestos, lead, and any chemical, compound, material, substance or other matter that: (a) is a flammable, corrosive, explosive, hazardous, toxic or regulated material, substance or waste, or other injurious or potentially injurious material, whether injurious or potentially injurious by itself or in combination with other materials; or (b)

is controlled, designated in, regulated or governed by any Environmental Law.

11.5.3. “Environmental Law” means any and all federal, state, or local laws, common law, statutes, ordinances, rules, decrees, orders, or regulations relating to the environment, hazardous substances, materials, or waste, toxic substances, pollutants, or words of similar import, or environmental conditions at, on, under, or originating or migrating from the Leased Site, or soil, water and groundwater conditions, including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended, 42 U.S.C. §§ 9601, et seq., the Resource Conservation and Recovery Act, 42 U.S.C. §§ 6901, et seq., the Toxic Substances Control Act, as amended, 15 U.S.C. §§ 2601, et seq., the Clean Air Act, as amended, 42 U.S.C. §§ 7401, et seq., the Federal Water Pollution Control Act, as amended, 33 U.S.C. §§ 1251, et seq., the Federal Hazardous Materials Transportation Act, 49 U.S.C. §§ 5101, et seq., any amendments to the foregoing, and any applicable federal, state or local laws, common law, statutes, ordinances, rules, decrees, orders or regulations.

11.5.4. “Release” means any release, deposit, disposal, discharge, injection, spill, leak, leaching, dumping, pumping, pouring, emission, escape, emptying, seeping, placing or the like, whether intentional or not, of Contaminants into, upon, under, through or contacting any land, water or air, or by any other means entering into, contacting or affecting the environment.

12. **INSURANCE.**

Lessee shall, at its sole cost and expense, procure and maintain during the life of this Lease the insurance coverage as outlined in **Exhibit B**.

13. **DEFAULTS AND REMEDIES.**

Should Lessee default in fulfilling any of the covenants or obligations of this Lease including covenants for making payments, upon Lessor serving a five (5) day notice upon Lessee specifying the nature of said default, and upon the expiration of said five (5) days, if Lessee shall have failed to remedy such default, then Lessor may serve a three (3) day notice of termination of this Lease upon Lessee, and upon the expiration of said three (3) days, this Lease and the

Lease Term hereunder shall end and expire and Lessee shall then quit and surrender the Leased Premises to Lessor.

14. HOLDING OVER.

Should Lessee hold over in possession of the Leased Premises or any portion thereof after the expiration of the Term or sooner termination as provided by this Lease without the execution of a new lease agreement or amendment, Lessee, at the option of Lessor, shall be deemed to be occupying the entire Leased Premises from month to month, subject to such occupancy being terminated by either party upon thirty (30) days' notice to the other party, at a monthly rental equal to 200% of Base Rent due for the month immediately preceding the termination of this Lease, and otherwise subject to all the other terms, covenants, obligations and conditions of this Lease insofar as the same may be applicable to a month to month tenancy, including the payment of all Additional Rent. The acceptance of rent by Lessor shall not be evidence that Lessor has exercised its option to treat Lessee as a holdover tenant pursuant to the option set forth above.

15. ASSIGNMENT, SUBLEASE, ENCUMBRANCE; BINDING ON SUCCESSORS.

Lessee may not assign or sublet this Lease, nor any of its individual rights or obligations under this Lease, without the prior consent of Lessor. Lessee may not enter into a license agreement or any other agreement whatsoever which would encumber the Leased Premises. This Lease will inure to the benefit of and be binding upon the successors and assigns of the Parties.

16. NOTICES.

Any notice required or permitted to be given hereunder by one party to the other shall be in writing, and the same shall be given and shall be deemed to have been served and given if (i) placed in the United States mail, certified, return receipt requested, or (ii) deposited into the custody of a nationally recognized overnight delivery service, addressed to the party to be notified at the address for such party specified below, or to such other address as the party to be notified may designate by giving the other party no less than thirty (30) days' advance written notice of such change in address.

If to Lessor

Company:	Swan Ranch Cheyenne Rail, L.L.C.
Attention:	Real Estate
Mailing Address:	315 W. Third Street
City, State, Zip:	Pittsburg, KS 66762

If to Lessee

Company:	City of Cheyenne
Attention:	Thomas D. Cobb
Mailing Address:	2101 O'Neil Ave.
City, State, Zip:	Cheyenne, WY 82001

17. SURVIVAL.

Neither termination nor expiration will release either party from any liability or obligation assumed under this Lease, whether of indemnity or otherwise, resulting from any acts, omissions or events happening prior to the date of termination or expiration, or, the date when the Leased Premises are restored to the condition as of the Effective Date.

18. RECORDATION; GOVERNING LAW.

This Lease will not be made of public record without the prior written consent of Lessor. The laws of the state where the Leased Premises are located govern all matters arising out of or relating to this Lease. Any party bringing a legal action or proceeding against any other party arising out of or relating to this Lease shall bring the legal action or proceeding in the state courts of the such state, or in the United States District Court for the district where the Leased Premises are located.

19. SEVERABILITY.

To the maximum extent allowed by law, if any provision of this Lease is held invalid, illegal or unenforceable, the validity, legality or enforceability of the remaining provisions of this Lease are not affected or impaired in any way.

20. ENTIRE AGREEMENT.

This Agreement ("Lease"), together with any exhibits or schedules, sets forth the entire agreement between the Parties, and replaces and supersedes any prior agreements, understandings, negotiations, or discussions between the Parties relative to the subject matter of this Lease. This Lease may only be modified by a written amendment signed by an authorized representative of both Parties and said written amendment must expressly refer to this Lease. Any attempt to modify the terms in such a manner shall be considered null and void.

21. NON-WAIVER.

The failure of either party to insist upon or enforce, in any instance, strict performance by the other party of any of the requirements, covenants, conditions, or restrictions of this Lease or to exercise any rights herein conferred, may not be construed as a waiver or relinquishment of the party's right to assert or rely upon such terms or rights on any future occasion, except to the extent the party specifically expresses, in writing, its intent to waive its rights.

22. **BROKERAGE COMMISSIONS.**

Any fees or commissions, with respect to the Leased Premises, due to a broker or finder are the sole responsibility of the Party that engaged those services.

23. **COUNTERPARTS.**

The parties may execute this Lease in multiple counterparts, each of which constitutes an original, and all of which, collectively, constitute only one Lease.

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first set forth on the first page.

SWAN RANCH CHEYENNE RAIL, L.L.C.
(Lessor)

By: _____

Name:

Title:

CITY OF CHEYENNE (Lessee)

By: _____

Name:

Title:



Exhibit B

LEASE INSURANCE REQUIREMENTS

Lessee shall, at its sole cost and expense, procure and maintain during the life of this Lease the insurance coverage identified below. Lessee must provide a Certificate of Insurance certifying that the insurance limits and coverages, with the appropriate endorsements, all as outlined below are in effect.

COVERAGE TYPE	MINIMUM COVERAGE
<u>Commercial General Liability (CGL)</u> Must include coverage for blanket contractual liability for the obligations assumed under contract including but not limited to: • Bodily injury and property damage • Fire legal liability • Pollution liability (sudden and accidental) • Emergency evacuation • The definition of insured contract shall be amended to remove any exclusion or other limitation for any work being done within 50 feet of Lessor's rail property, if applicable. • Any exclusions related to the explosion, collapse and underground hazards shall be removed. • No other endorsements limiting coverage may be included on the policy with regards to the work being performed under this agreement.	\$5,000,000 each occurrence
<u>All Risk Property</u> All risks property insurance covering all of Lessee's property including property in the care, custody or control of Lessee. Coverage shall include the following: • Issued on a replacement cost basis. • Include a standard loss payable endorsement naming Lessor as the loss payee as its interests may appear.	Replacement Value
<u>Automobile Liability</u> Coverage must extend to all owned, hired, and non-owned vehicles and must include coverage for blanket contractual liability for the obligations assumed under contract. If applicable, Motor Carrier Act Endorsement – Hazardous materials clean up (MCS-90) is required.	\$2,000,000 Combined Single Limit Each Occurrence
<u>Workers' Compensation Employers Liability</u> Must include coverage for Longshoremen's and Harbor Workers' Compensation, if applicable, and coverage for Federal Employers' Liability Act, if applicable.	Statutory Limits where Services are to be performed \$1,000,000 Each Occurrence \$1,000,000 Disease Per Employee
<u>Pollution Liability</u> The policy shall provide for protection against claims for third-party bodily injury, property damage, environmental damage, and clean-up cost caused by pollution conditions resulting from actions taken under this contract.	\$5,000,000 each occurrence

**An Umbrella liability policy, which follows form, may be used to obtain the aforementioned limits.

Certificate Holder and Endorsement Requirements

1. Lessor shall be listed as Certificate Holder as follows: **Watco Companies, L.L.C., and its affiliates, subsidiaries and assigns 315 W. 3rd Street Pittsburg, KS 66762.**
2. All aforementioned policies shall contain a blanket waiver of subrogation in favor of Certificate Holder, and an additional insured endorsement naming Certificate Holder as Additional Insured (with the exception of Workers' Compensation and Employer's Liability). All aforementioned policies shall be primary and non-contributory with respect to any insurance carried by Lessor.
3. If any policies are purchased on a "claims made" basis, Lessee hereby agrees to maintain coverage in force for a minimum of three years and shall provide evidence of such coverage to Lessor, on an annual basis, during this additional three-year period.

Other Requirements

1. All policies required shall be written by a reputable insurance company reasonably acceptable to Lessor or with a Best's Guide Rating of A- and Class VII or better and authorized to do business in the state(s) in which Lessee is conducting business.
2. Lessee shall notify Lessor in writing at least thirty (30) days prior to any cancellation, non-renewal, and substitution or material alteration to any of the aforementioned policies.
3. Failure to provide evidence as required shall entitle, but not require, Lessor to terminate immediately.
4. Acceptance of a certificate that does not comply with this document shall not operate as a waiver of Lessee's obligations hereunder.
5. Lessee is not allowed to have a self-insure greater than \$250,000 without prior written consent of Lessor. If granted by Lessor, any deductible, self-insured retention or other similar financial responsibility for claims shall be covered directly by Lessee in lieu of insurance. Any and all Lessee liabilities that would otherwise, in accordance with the provisions of this document, be covered by Lessee's insurance will be covered as if Lessee elected not to include a deductible, self-insured retention or other financial responsibility for claims.
6. If any portion of the operation is to be subcontracted by Lessee, Lessee shall require that the subcontractor shall provide and maintain insurance coverage as set forth herein, naming Lessor as an additional insured, and shall require that the subcontractor shall release, defend and indemnify Lessor to the same extent and under the same terms and conditions as Lessee is required to release, defend and indemnify Lessor herein.
7. Failure to provide evidence as required by this section shall entitle, but not require, Lessor to terminate this Lease immediately. Acceptance of a certificate that does not comply with this section shall not operate as a waiver of Lessee's obligations hereunder.

The fact that insurance (including, without limitation, self-insurance) is obtained by Lessee shall not be deemed to release or diminish the liability of Lessee including, without limitation, liability under the indemnity provisions of this Lease. Damages recoverable by Lessor shall not be limited by the amount of the required insurance coverage.